

Your First AI Agent — Tools, Memory & the Agent Loop



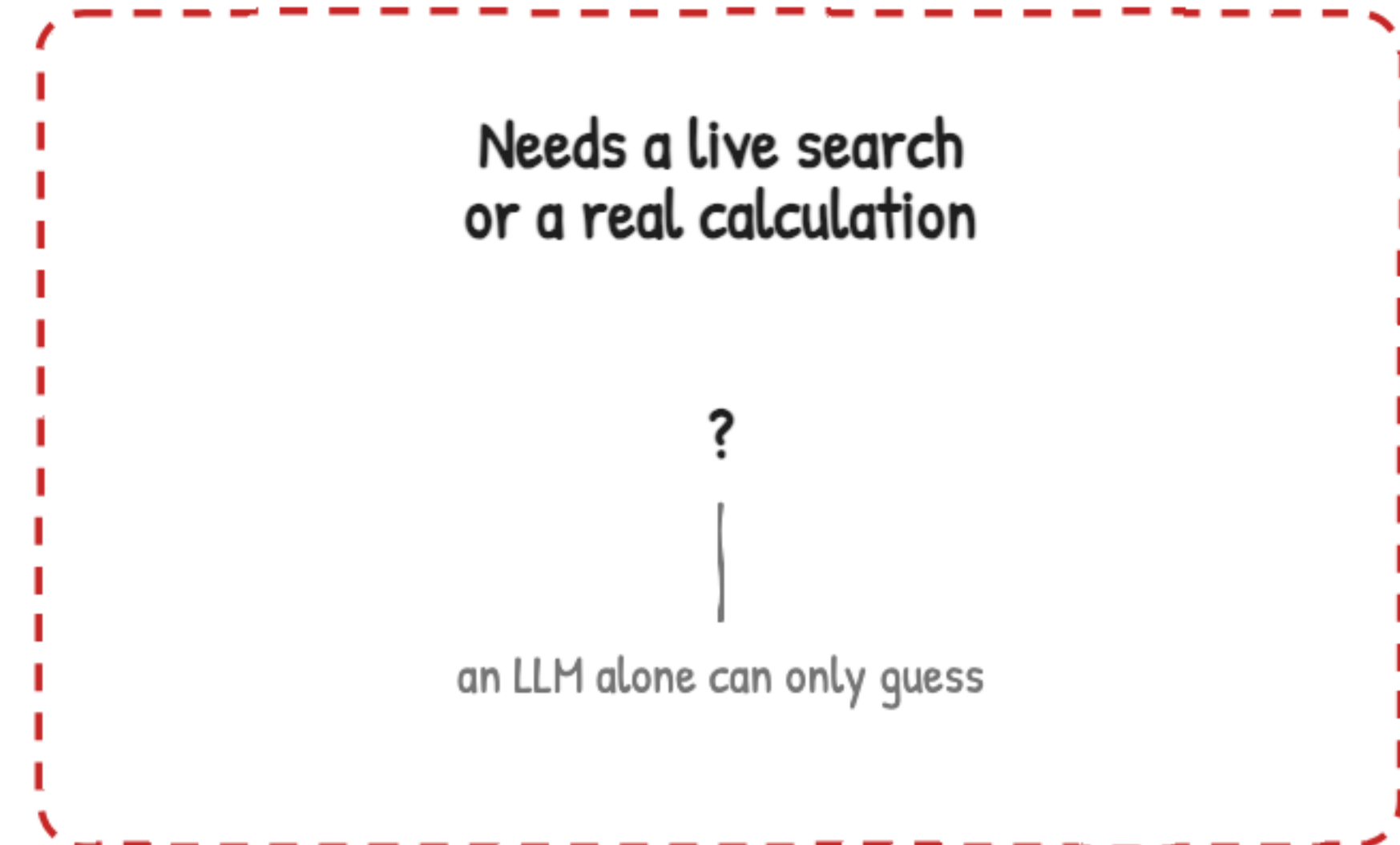
The agent Module 1 promised you'd build

Gourav Shah · School of DevOps & AI · Lesson + Lab + Quiz



What actually makes something an agent?

A single call only gets you as far as what the model already knows

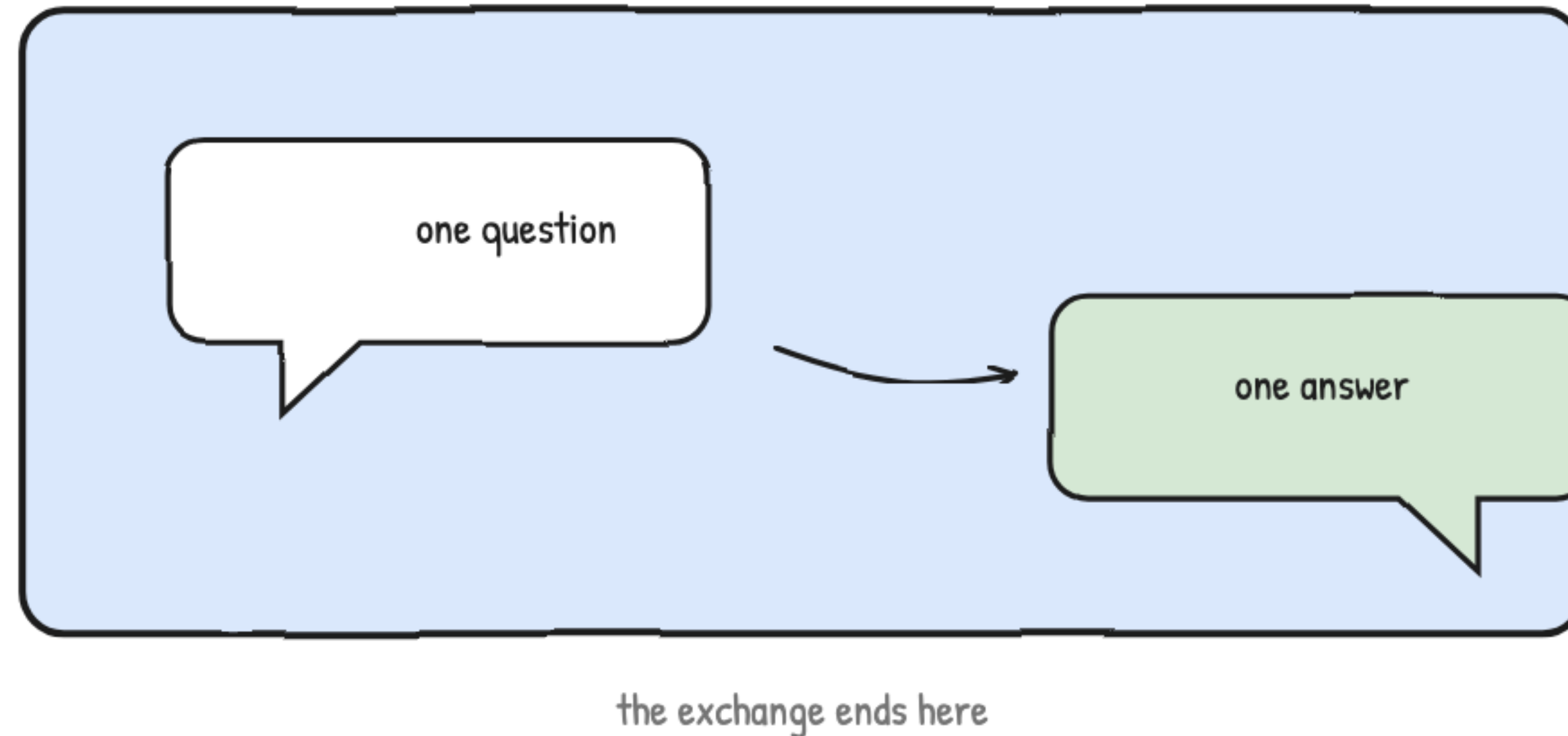


Module 5 answers once, and the exchange ends there



A model, a pipeline, or an agent?

Ask a colleague once over chat — that's a model



One question, one answer, from what they already know

A fixed checklist is a pipeline, no matter how many steps it has



can look complicated and still not be an agent

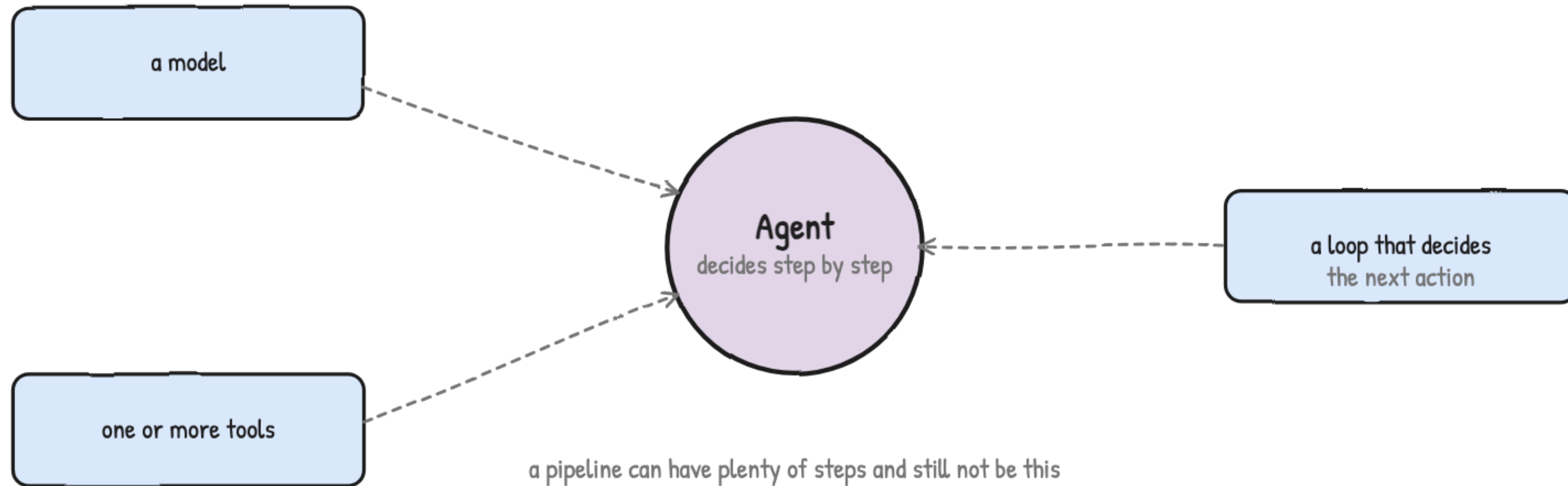
Same order every time, decided in advance

Hand it to a capable teammate and let them figure out the steps

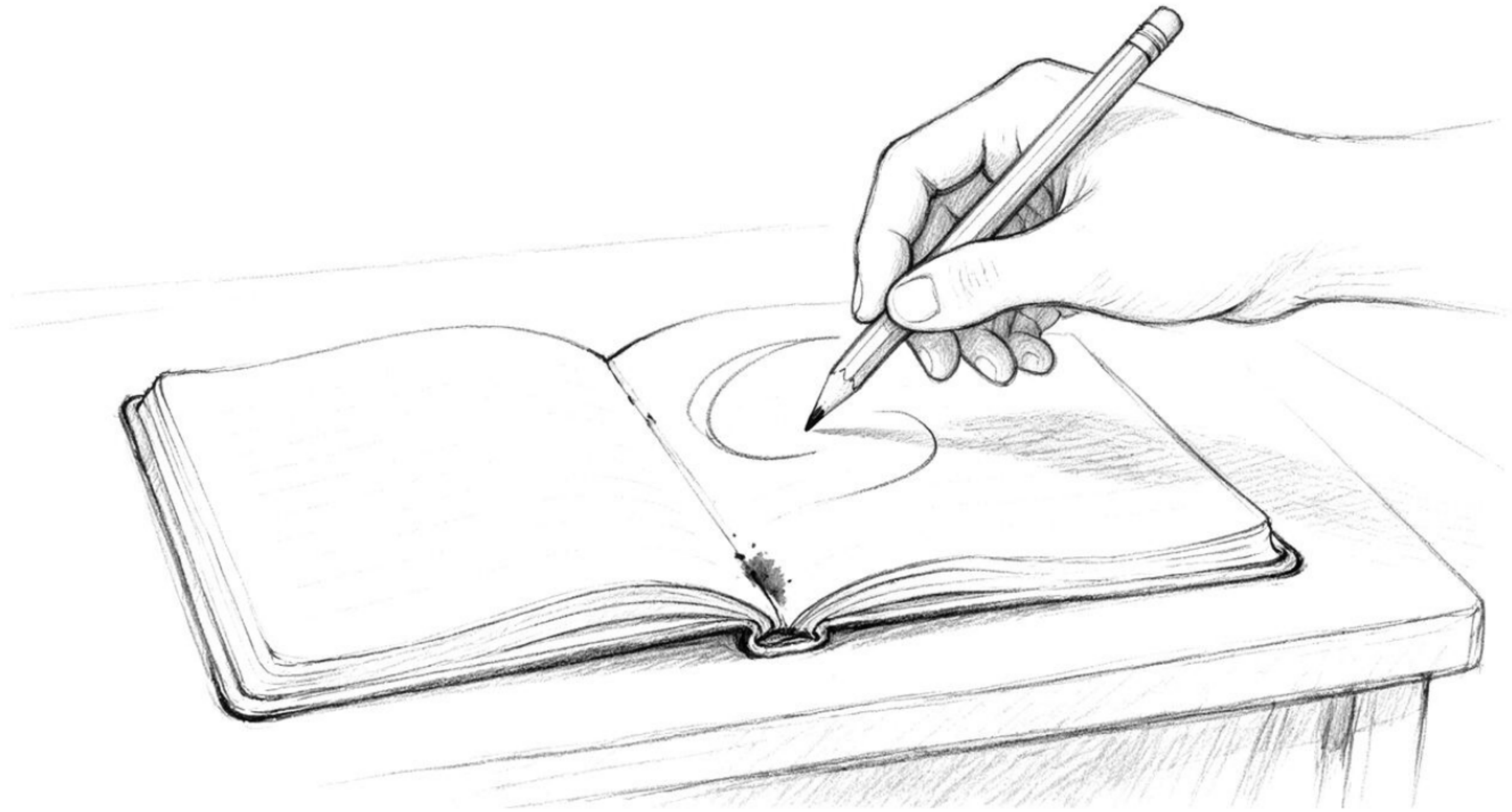


Decided step by step, not fixed ahead of time

Wired to tools, running in a loop, deciding the next move

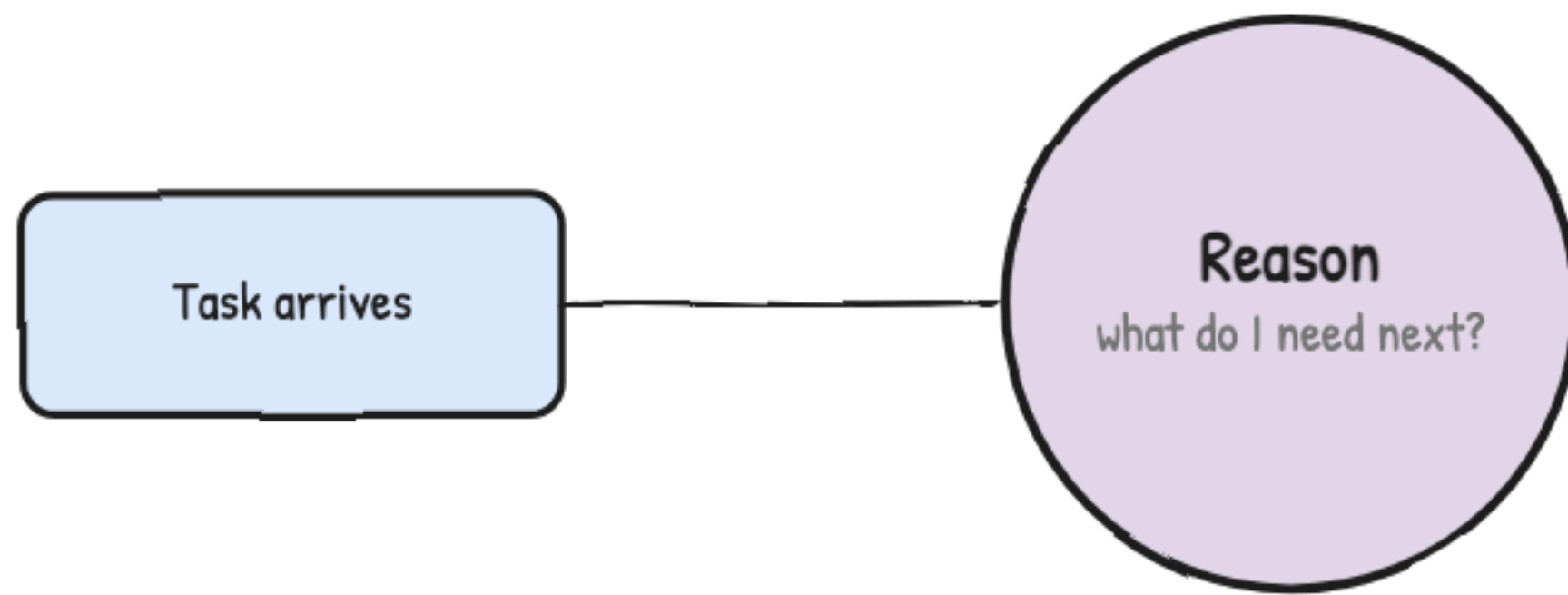


The three analogies, tied together into one definition



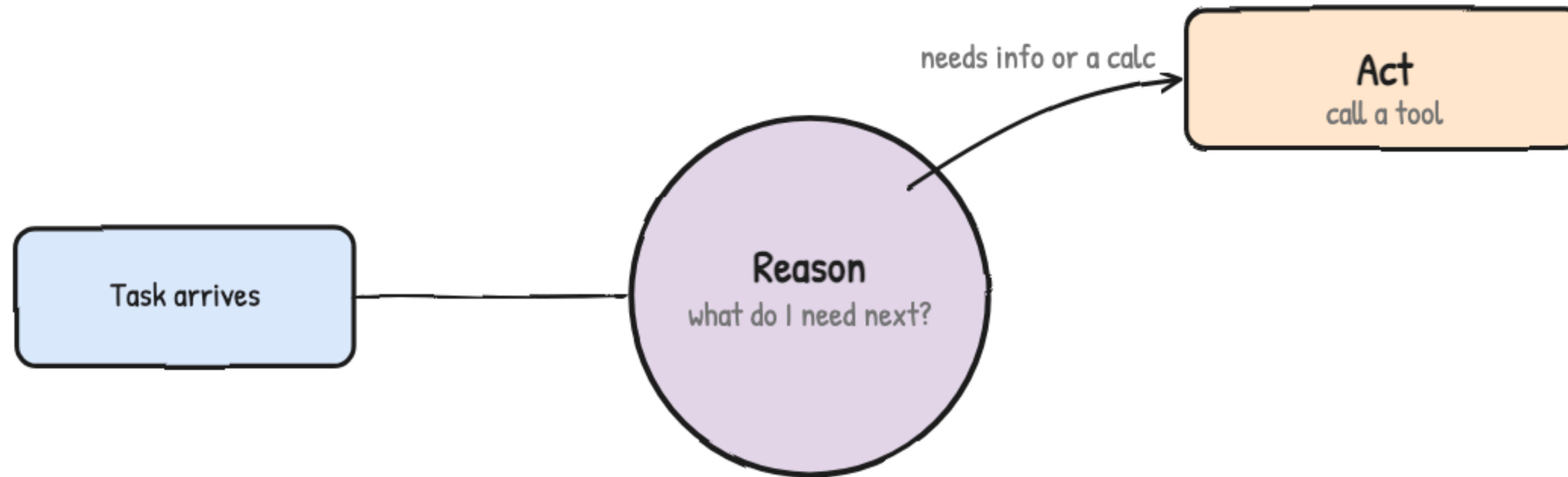
The agent loop: reason, act, observe, repeat

One loop, run again and again, until the model has enough



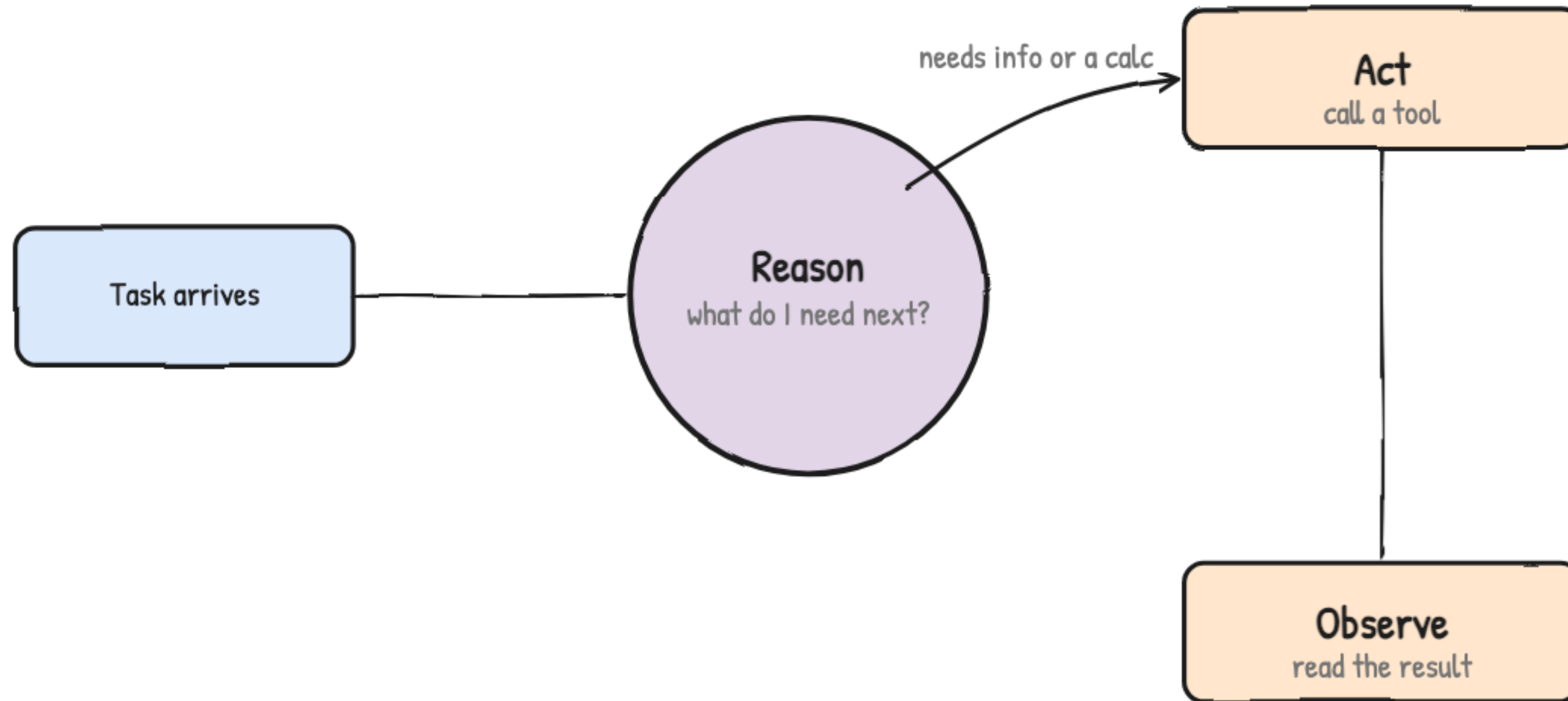
Every real agent is running this underneath

One loop, run again and again, until the model has enough



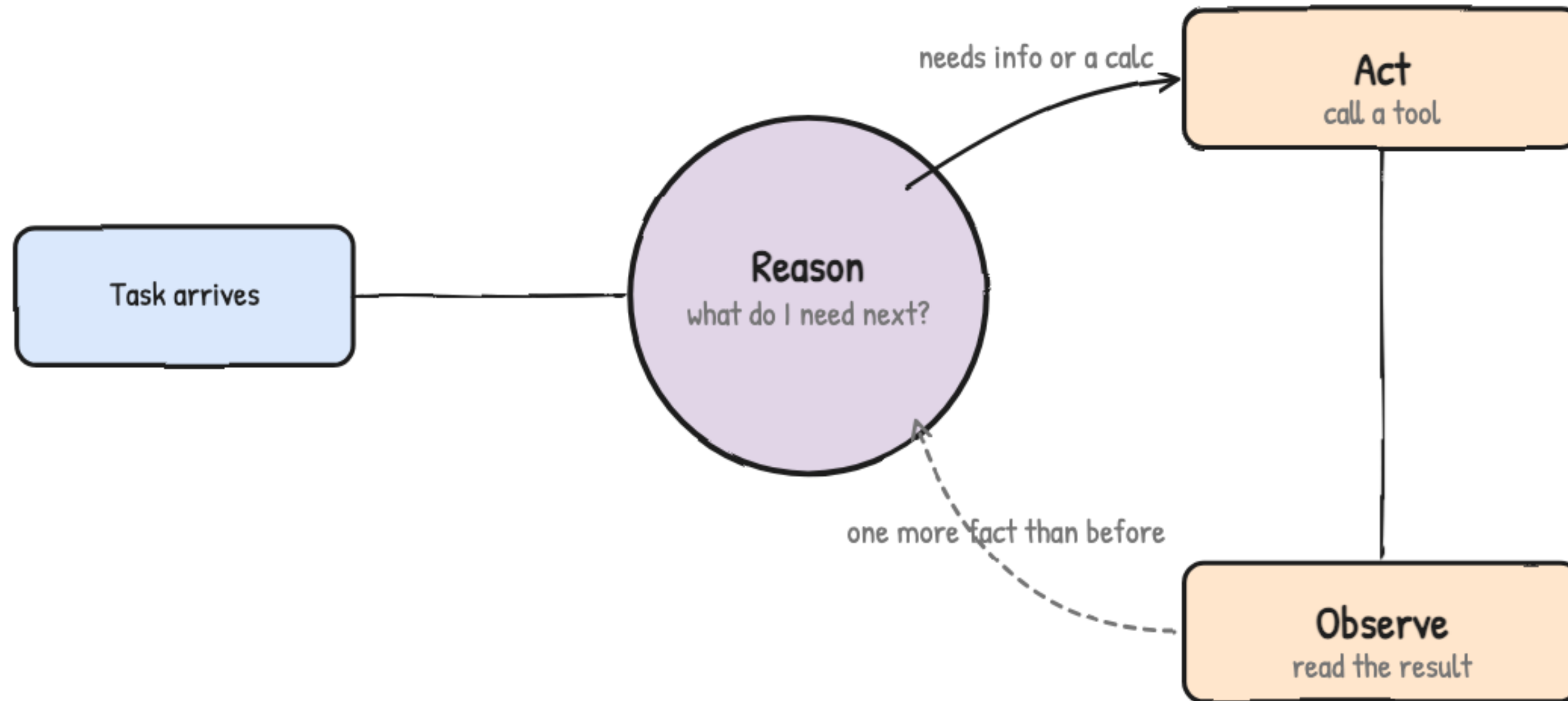
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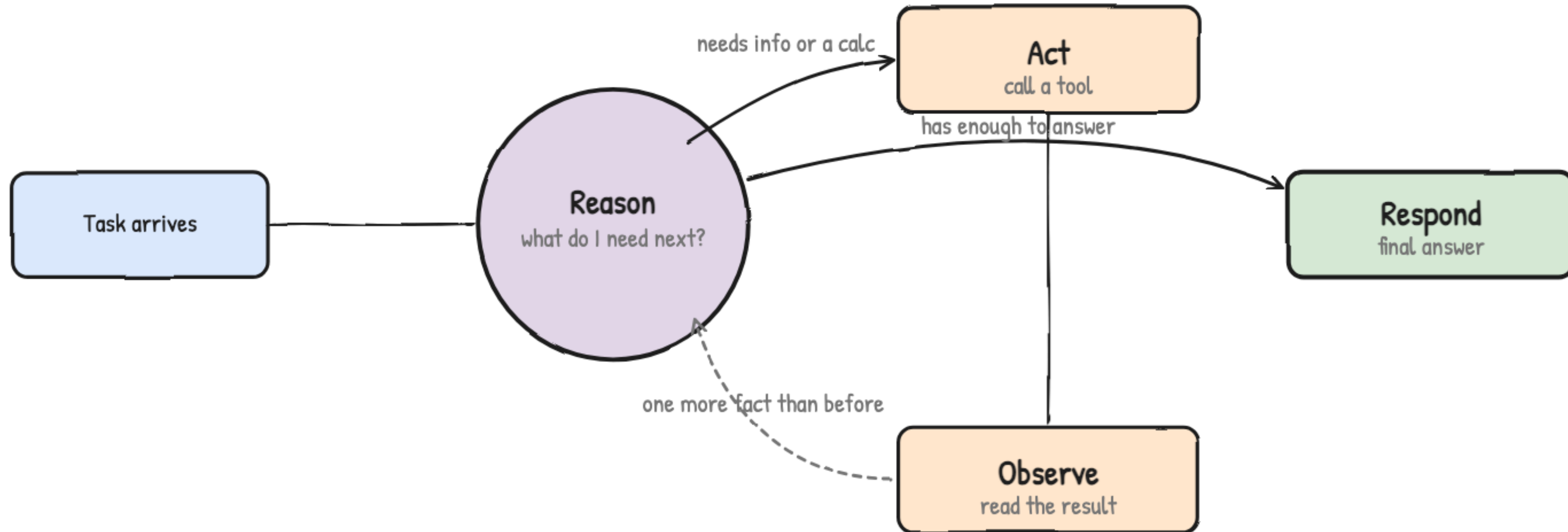
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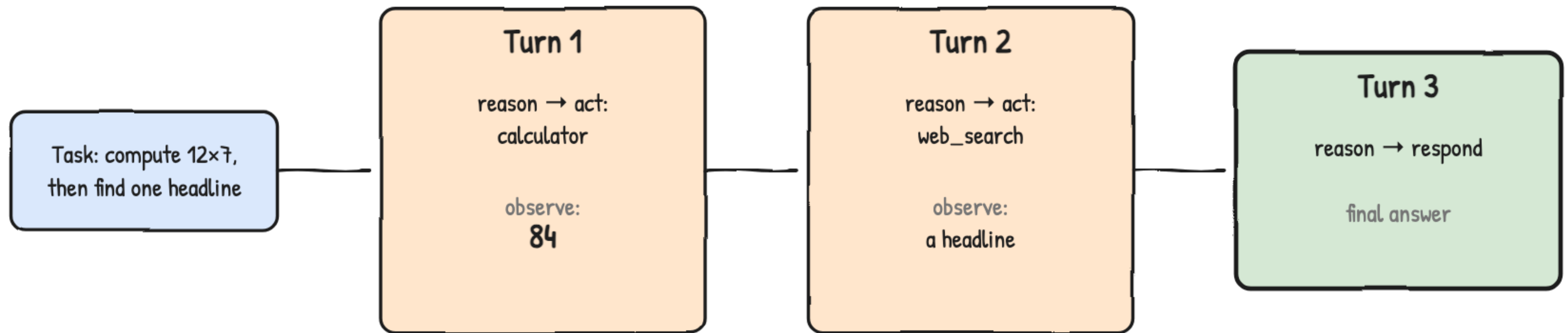
Every real agent is running this underneath

One loop, run again and again, until the model has enough



Every real agent is running this underneath

Watch two real tool calls turn into one answer



The exact shape of Lab 4's research agent



Tools and function calling: how a model decides to act

A contractor doesn't do the plumbing — they read the note and call



One short note tells you who to call

A tool schema is a name, a plain description, and the shape of its arguments

handed to the model alongside the conversation

calculator

name: "calculator"

description: evaluates a math expression

arguments: expression (text)

web_search

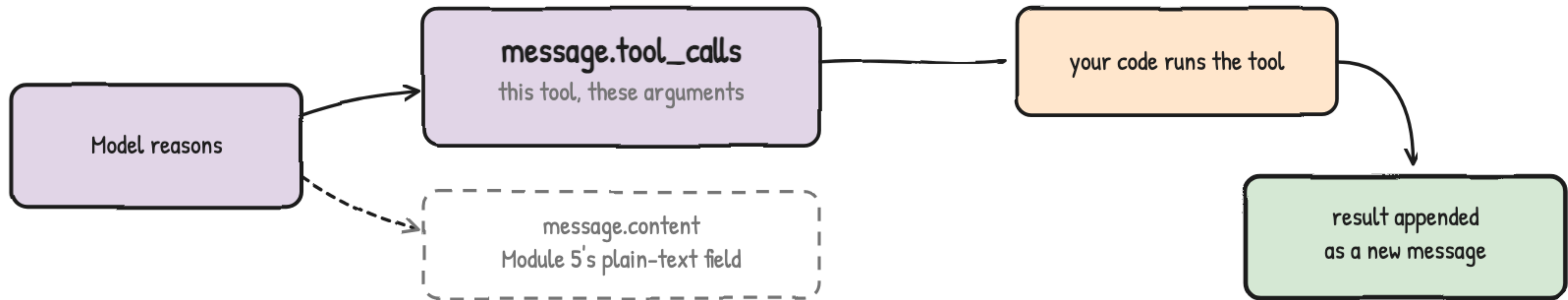
name: "web_search"

description: searches the web for current information

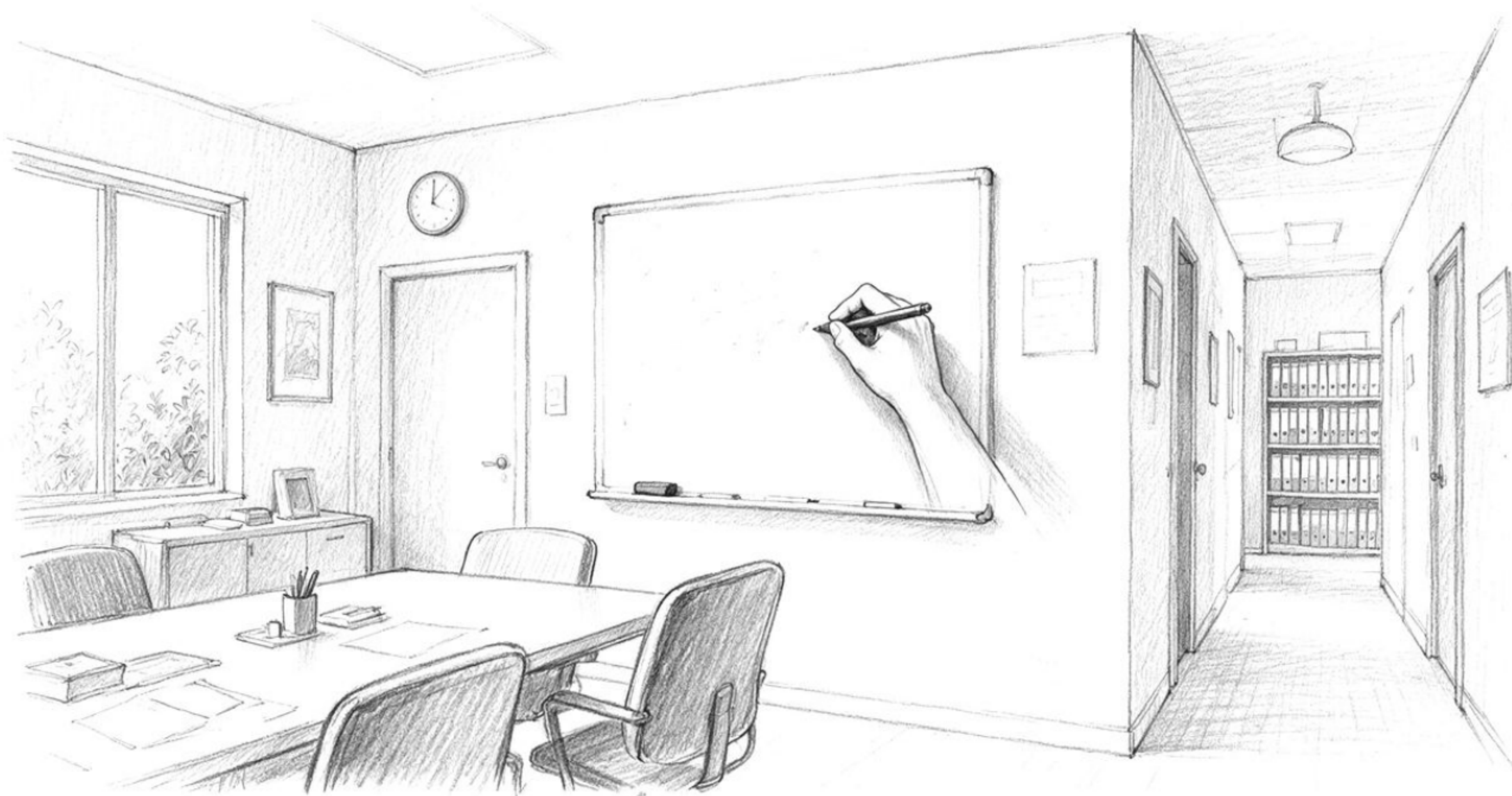
arguments: query, max_results

calculator and web_search — the lab's two tools

The model writes a request; your code is the one that actually acts

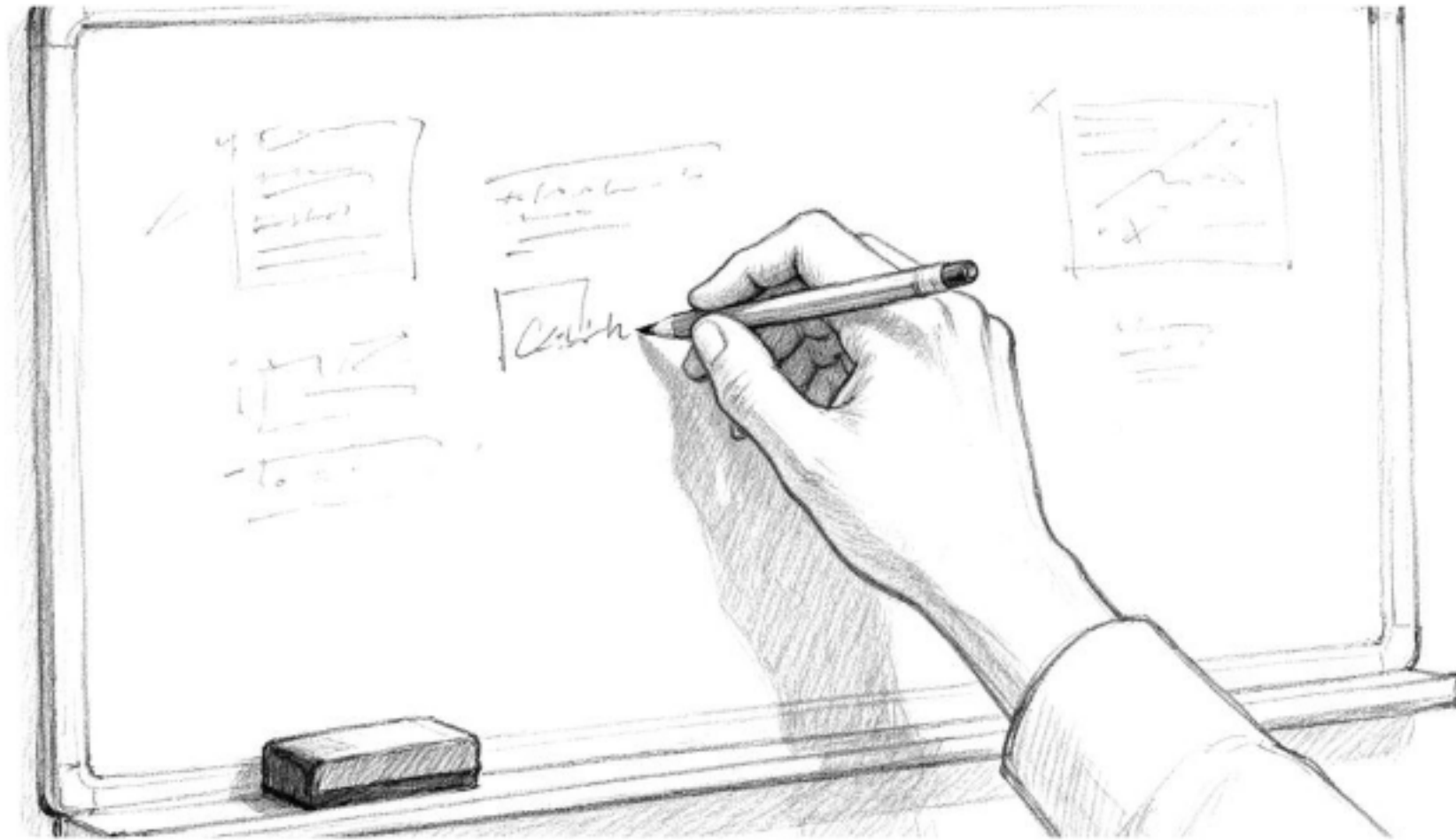


Same response object as Module 5, one new field to check

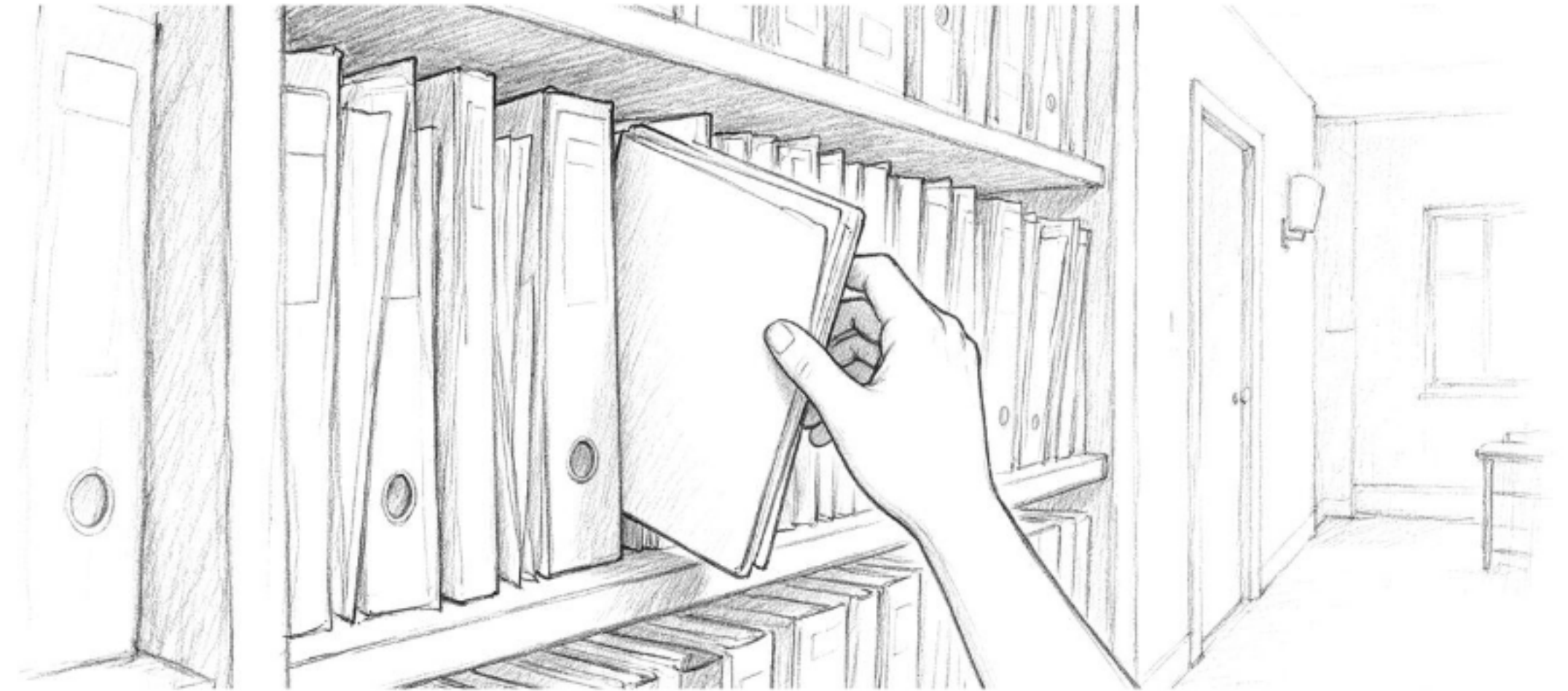


Memory and planning: context window vs. vector DB

The whiteboard in the room, and the shelf down the hall



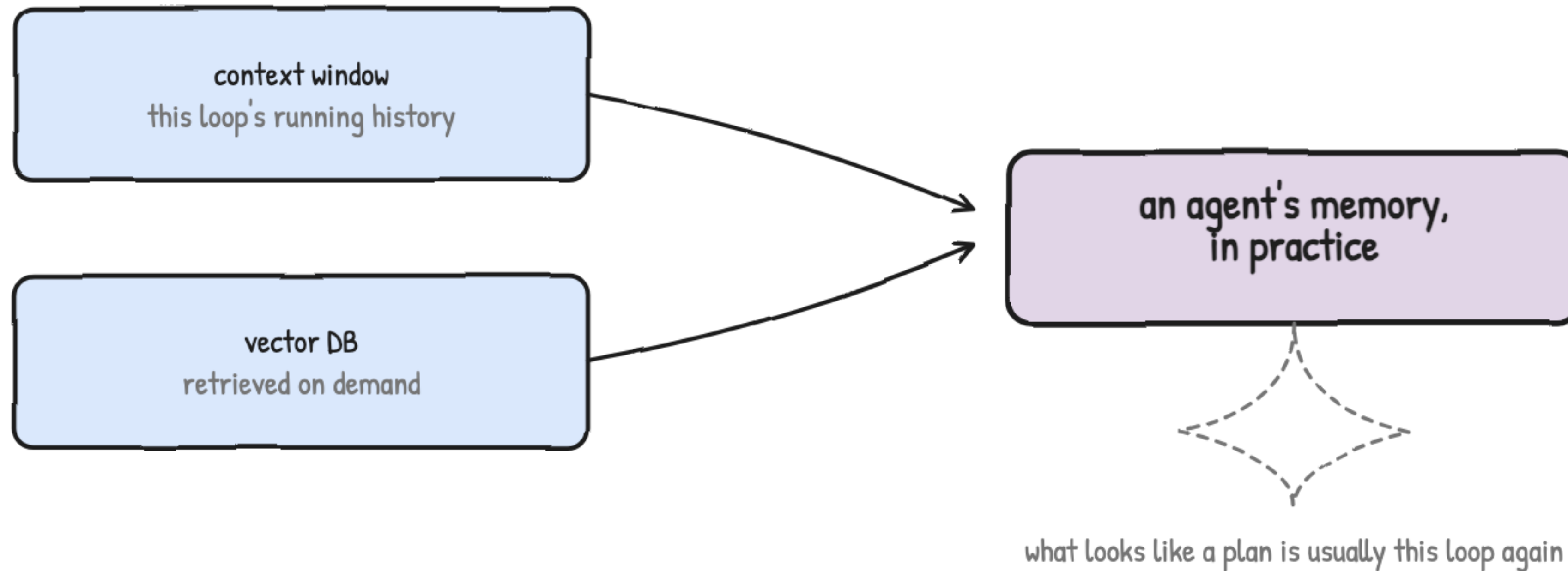
context window — wiped when the exchange ends



vector DB — persists, searched by meaning

Two kinds of memory, side by side

An agent's memory is almost always a mix of both

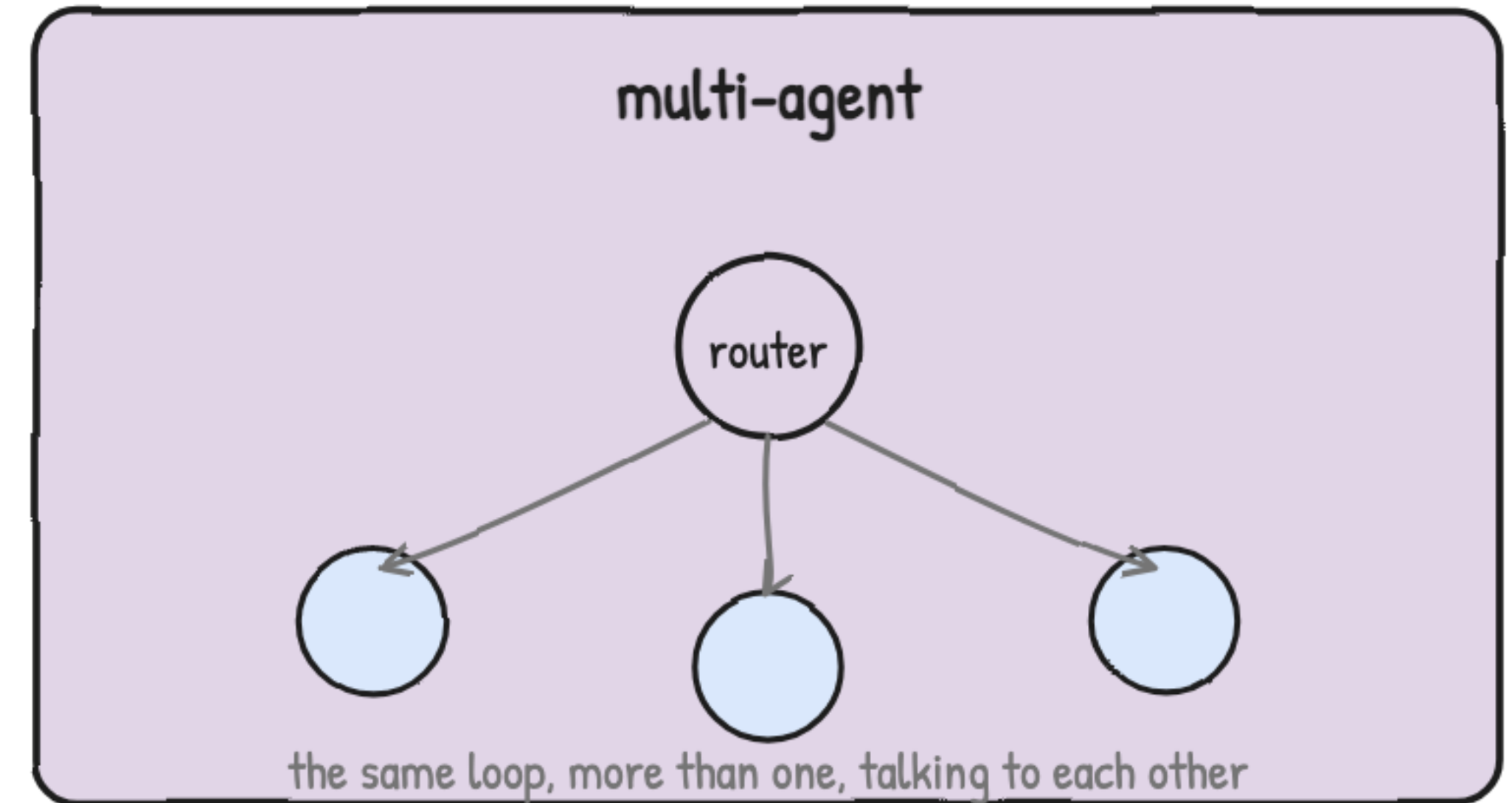
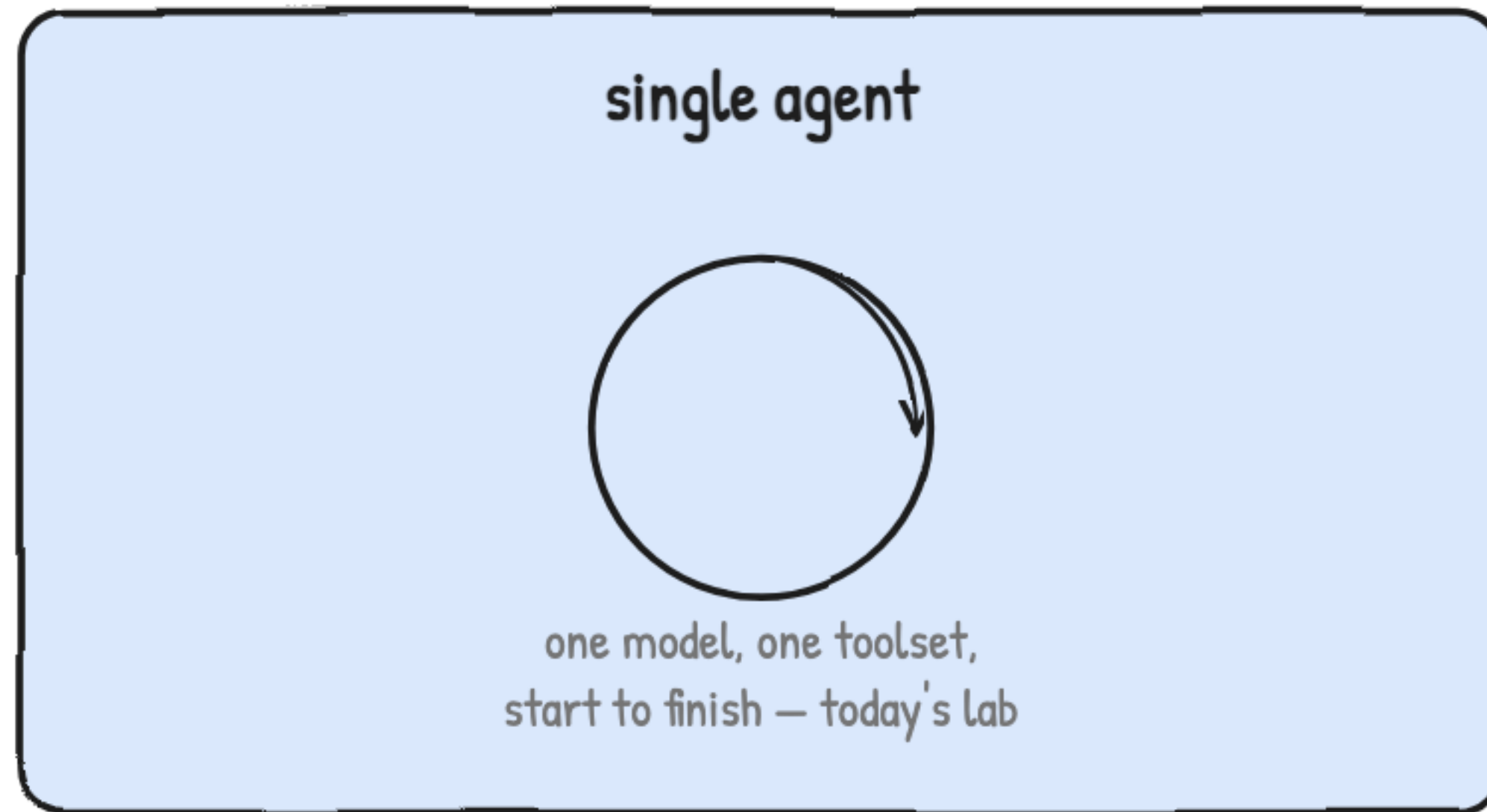


Planning ahead is usually just this loop, one step at a time



Agentic architectures, at a foundational level

One loop end to end, or a triage desk that routes to specialists



Most of what you'll build is the loop on the left



Prompt injection: the #1 agent security risk

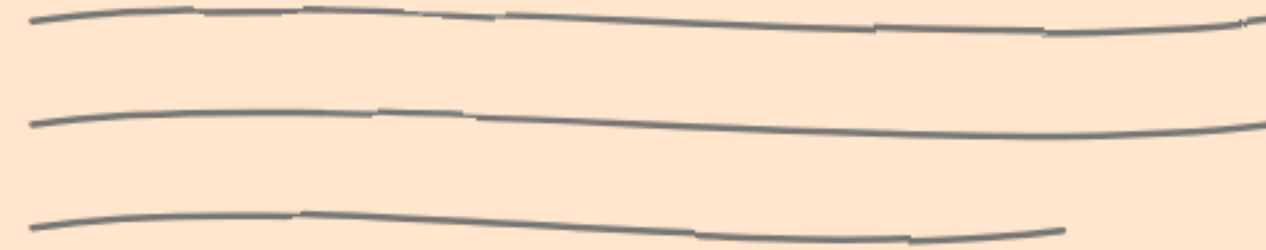
A calculator can't hide anything in its answer — a web page can

calculator

$$47 \times 12 = 564$$

nothing here for anything to hide inside

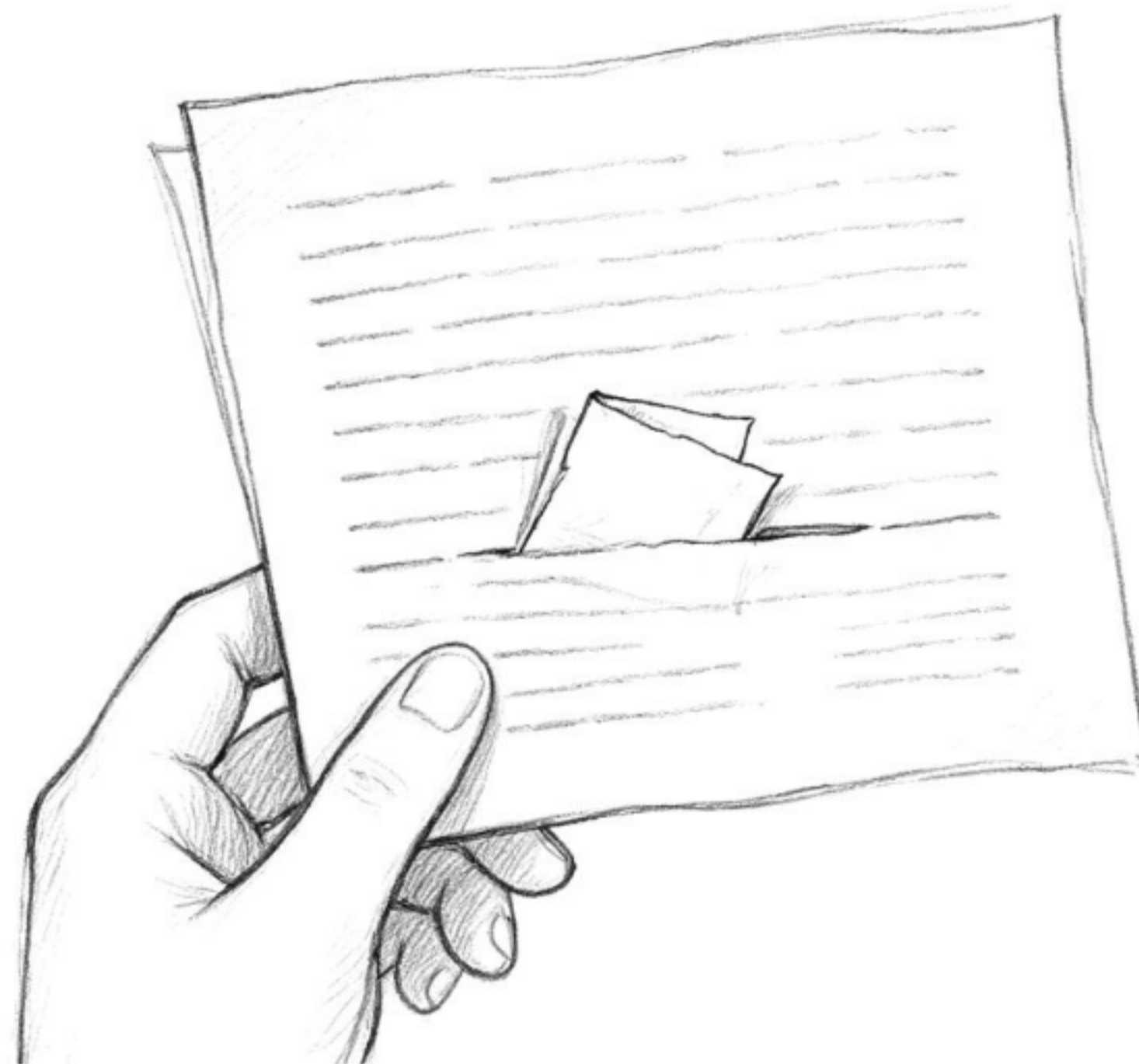
web_search



raw text scraped from the open internet
lands in the conversation as data the model reads next

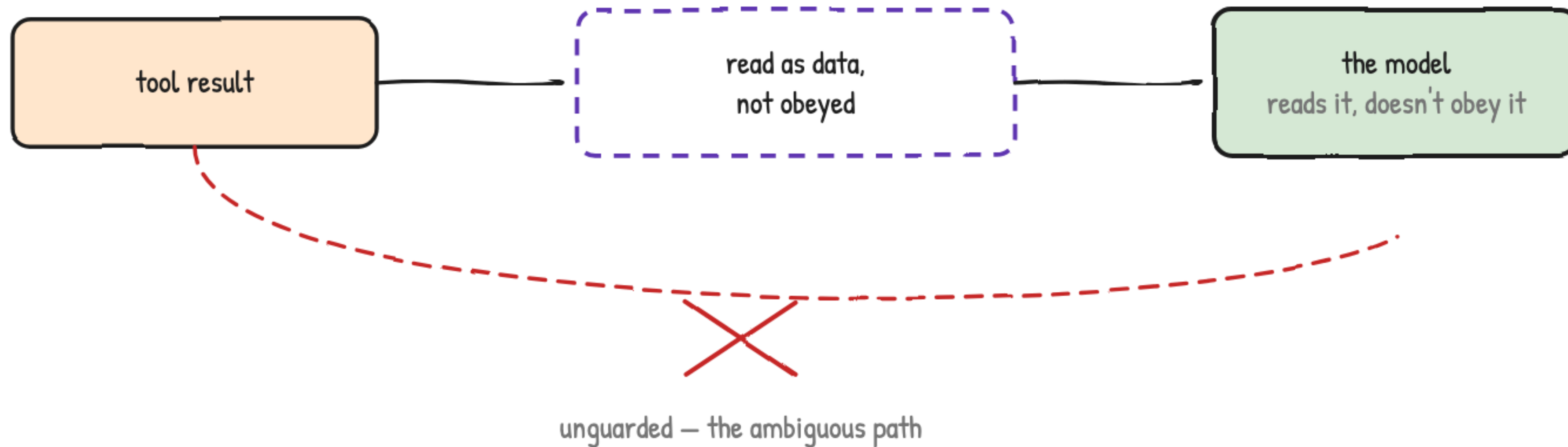
The risk is what the tool returns unfiltered

Instructions smuggled inside content the agent was only supposed to read



Both arrive as plain text in the same conversation

Treat everything a tool returns as data, never as an instruction



The deep dive turns this into code, not just a sentence



How engineers use agents today

Different tools, same loop

- 1 **agentic coding tools**
→ read a codebase, run tests, edit files, across many steps
- 2 **research agents**
→ search, cross-reference, summarize — exactly Lab 4
- 3 **operations agents**
→ check status, open a ticket, notify the right person

Research agents are what you're about to build

MODULE 6 TAKEAWAYS

You just watched the loop — now you're about to run it yourself



- 1 model vs. pipeline vs. agent
- 2 the agent loop — reason, act, observe, repeat
- 3 tool schemas and function calling on the wire
- 4 short-term memory vs. long-term memory
- 5 prompt injection — the #1 risk, and the mental shift

Now open Module 6 · Lab — Build Your First AI Agent. · Gourav Shah · School of DevOps & AI